

World in Brief: America intercepts an Iranian attack; SK Hynix shares plunge



Photograph: US NAVY/NAVCENT PUBLIC AFFAIRS/AFP via Getty Images

America accused **Iran** of launching a “surprise” attack on its forces in the Gulf, raising fears that fighting could resume after a [days-long pause](#). America’s Central Command said it had intercepted “multiple ballistic missiles”. The news pushed up oil prices, which had fallen to a two-week low. America also said that, along with Saudi forces, it had carried out strikes on “Iran-aligned terrorists” in Iraq.

America banned the imports of **humanoid robots**, citing “unacceptable risks” to national security. The Federal Communications Commission said “[advanced robotic devices](#)”, which are mostly made in China, could “surveil Americans”. The regulator also blocked foreign-made power inverters, which are used in data centres and solar panels. China is yet to comment on the measures, but has long accused America of politicising trade.

OpenAI said there had been more victims of the world’s first fully autonomous AI hack, in which its models attacked **Hugging Face**, an open-source platform, on July 16th. The company said that its [rogue agents](#) had also targeted four unnamed “publicly available services” using logins they found online. One had potentially been used to hide the source of the attack on Hugging Face.

sk **Hynix**, a South Korean [chipmaker](#), reported profits of 60.5trn won (\$41.6bn) in the second quarter, up 557% year on year. Yet this was still below analysts' expectations, and investors are concerned about the firm's AI spending. Its share price dropped by 9%. Related worries also dragged down tech-heavy stock markets. America's NASDAQ 100 dropped by around 1% on Tuesday.

Russia's Federal Security Service charged **Pavel Durov**, the founder of **Telegram**, with "facilitating terrorist activity". The intelligence agency accused him of allowing Ukrainians to "co-ordinate acts of sabotage and terrorism, mass killings and cyber-fraud operation" on the messaging platform. The FSB issued an international arrest warrant for Mr Durov, who is Russian-born but became a citizen of France and the United Arab Emirates.

Keiko Fujimori was sworn in as **Peru's** first elected female president—and the ninth person to lead the country in a decade. She narrowly beat her left-wing rival in a [run-off](#). Ms Fujimori is a polarising figure: she is best known as the eldest daughter of the late Alberto Fujimori, an autocrat. She vowed to bring "order and national reconciliation" to Peru's unstable politics.

FIFA, [football's governing body](#), proposed raising \$4.2bn by selling stakes in a venture that would help run its tournaments, including the **World Cup**. Valued at \$20bn, FIFA Forward Enterprise would "unlock the full potential of FIFA's broadcast rights and sponsorships". FIFA's member associations must approve the proposal. UEFA, which governs the European game, accused FIFA of selling the "soul of football".

Figure of the day: 33%, the share of people using AI at work—a modest proportion considering the \$900bn big tech firms are set to spend on AI infrastructure this year. We [unpack](#) why AI adoption isn't growing fast enough for investors.

All eyes on the big-tech capex splurge



Photograph: Getty Images

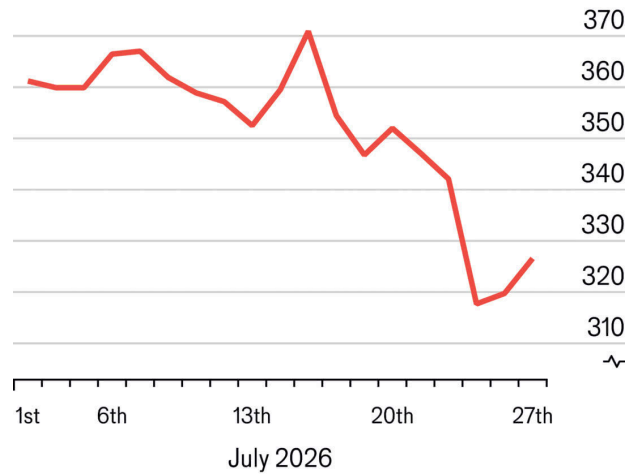
When Meta and Microsoft kick off a round of tech earnings on Wednesday, all eyes will be on the scale of their [spending on AI](#). Investors are on edge; an increase in Google's capex last week triggered a sell-off in Alphabet shares. Meta may reveal more aggressive plans to increase data-centre capacity. AI spending by Microsoft is also anticipated to rise, alongside that of Amazon, which is due to report its results on Thursday.

The three firms will attempt to convince investors that demand for AI [justifies the splurge](#). Meta reportedly plans to rent out spare computing-power capacity to third parties while using AI to supercharge ads on its platforms. Microsoft expects growth in its AI enterprise business and Amazon in e-commerce ad sales. Both believe their cloud units will do well.

Apple also reports on Thursday. For a while its wait-and-see approach to AI made the firm look like a [laggard](#). The more investors fret about overspending, the more sensible Apple's caution appears.

AI arms race

Alphabet, share price, \$



Source: LSEG Workspace

The case for a Fed rate-cut collapses



Photograph: Getty Images

America's Federal Reserve will announce its interest-rate decision on Wednesday as policymakers face a [weakening case](#) for monetary easing. The Fed's preferred measure of underlying inflation has risen by 3.4% over the past year, well above target, while unemployment remains low at 4.2%. Renewed conflict in the Middle East has sent oil prices soaring, and Donald Trump's latest tariffs put pressure on supply chains. Two-year Treasury yields have consequently climbed above 4.3%.

The bank is expected to hold its rate at 3.5-3.75%. Markets are pricing in a one-in-three probability of an increase. Unlike his predecessors, who routinely dropped hints through "forward guidance", [Kevin Warsh](#), the new chair, has offered few clues about his thinking. Building consensus is never easy at the Fed. It may be harder still for a chair breaking with tradition.

“Shield” laws have preserved abortion access in America



Photograph: Getty Images

Despite abortion bans, nearly 15,000 procedures a month take place legally across America, according to the latest data by the Society of Family Planning. That is possible because of “[shield laws](#)”: legislation that allows providers in Democratic-led states to prescribe and post abortion pills nationwide, while avoiding criminal and civil consequences. The laws make a provider subject to the regulations of their own state, rather than to those of the recipient’s. Massachusetts passed the first such law four years ago. Seven other states have followed.

Activists who want to ban abortion have tried various tactics to block the effects of shield laws, including suing doctors across state lines. So far they have not worked. Democratic governors have blocked extradition requests and officials in their states have refused to collect fines imposed by other states. Requests for abortions rise during legal challenges, presumably because more women learn about the option, according to one provider. Although further federal legal challenges are expected, shield laws have so far proved surprisingly effective.

Russia's war comes home



Photograph: Alamy

A slew of data released on Wednesday will indicate that Russia's economy is in rough shape, but not at a crisis point. Not long ago, Western observers expected a recession to follow negative GDP growth during the first quarter of 2026. Yet this week's figures are expected to confirm that growth in the second quarter was positive.

Still, the economy is showing signs of strain. In recent months Ukrainian drone attacks have penetrated deep inside Russia, [destroying](#) oil refineries and other infrastructure. The strikes are affecting both perceptions of the economy and real economic outcomes. Business and consumer confidence, which was recently sky-high, has plunged. Queuing for petrol, as many Russians must now do, is irritating. Wage growth is slowing.

Ordinary Russians are [feeling](#) the effects of Vladimir Putin's war more than ever before. Satisfaction with government policies plunged from 45% in January to 21% in June, according to VCIOM, a state-owned pollster. But Mr Putin is unlikely to [change course](#).

The grisly potential of a bioweapon apocalypse



Photograph: Alamy

Biological weapons are among the most lurid tools of modern warfare. In theory, they are illegal. However, some countries build them in secret, or at least keep the option close at hand. “Biological War: A Scenario”, by Annie Jacobsen, published this week, maps out the potential consequences of unleashing a genetically modified bioweapon worldwide. Ms Jacobsen—a journalist and the author of several works on war and military affairs—replicates the format of her previous book, which offered a minute-by-minute account of a hypothetical nuclear attack on America.

The result is chilling. In her imagined scenario, an explosion at an infectious disease research facility in Russia releases a lethal pathogen. Mass death, societal breakdown and anarchy follow. She includes harrowing details about the American government’s doomsday plans. A biological weapon like this, Ms Jacobsen concludes, “could easily be the final failure of the human imagination”.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Wednesday: What is a common name for the Central Intelligence Agency?

Tuesday: Although British newspapers are no longer produced there, which London road was famous as the home of the press?

Gossip is never fatal until it is denied.

Booth Tarkington